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HUMAN RESOURCE PLANNING

INTRODUCTION

Human resource is the most important asset of an organisation. Careful planning for human resources is essential because human resources are tangible and living unlike other resources of the company. There is always a need of commitment for a long term association both from employees as well as from employers. Overstaffing or understaffing could create productivity issues for the organisation. Uncertainty and dynamism in business demands quick response from the organisation. HR is both a cost as well as an asset, hence, it requires minute planning. Strategic planning in business lays great emphasis on HR planning as one of the important parameters of strategic planning process. HR planning is a strategic technology and the beginning of all HR processes.

HR planning means different things to different people. However, the general agreement exists on its ultimate objective, the most effective use of scarce talent. HR planning has attained utmost importance due to the technological changes and the scarcity of skilled manpower. Manpower replacement is not like removing the damaged spare-part and replacing with another. Since no two humans are similar. Nowadays the organisations require people with specialised skills and HR should know in advance the requirement of the nature of manpower. So that the right kind of person can be selected for the post. HR planning is thus, a process whereby the organisation's manpower requirement is maintained by deliberate and systematic action to mobilize

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reasonable balance with the demands. Since it is difficult to plan the right kind of people at the right time, proper planning will ensure that the expectations are not to a large extent. HR planning involves considerable uncertainty and it's not a science and mistakes are bound to occur. However, the use of HR planning assist the organization to foresee changes and identify the trends in staffing resources and to adopt HR policies to avoid major HR problems.

The words 'human resource planning' and 'manpower planning' are generally used interchangeably. Human resource planning is not a substitute for manpower planning. Rather the latter is a part of the former *i.e.* manpower planning is integrated with human resource planning. In this chapter these two words are used synonymously.

DEFINITIONS

The following definitions will help to understand properly the concept of human resource planning :

According to Eric W. Vetter, "Human resource planning is the process by which a management determines how an organisation should move from its current manpower position to its desired manpower position. Through planning a management strives to have the right number and the right kinds of people at the right places, at the right time to do things which result in both the organisation and the individual receiving the maximum long range benefit."

According to Dale S. Beach, "Human resource planning is a process of determining and assuring that the organisation will have an adequate number of qualified persons available at the proper times, performing jobs which meet the needs of the enterprise and which provide satisfaction for the individuals involved."

According to Leon C. Meginson, "Human resource planning is an integration approach to performing the planning aspects of the personnel function in order to have a sufficient supply of adequately developed and motivated people to perform the duties and tasks required to meet organisational objectives and satisfy the individual needs and goals of organisational members."

According to G. Stainer, "Manpower planning is the strategy for the acquisition, utilisation, improvement and preservation of an organisation's human resources. It is aimed at coordinating the requirements for and the availability of different types of employees."

According to Bruce P. Coleman, "Manpower planning is the process of determining manpower requirements and the means for meeting those requirements in order to carry out the integrated plan of the organisation."

According to E. Geister, "Manpower planning is the process including forecasting, developing and controlling by which a firm ensures that it has the right number of people and the right kind of people at the right places at the right time doing work for which they are economically most useful."

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FEATURES OF HUMAN RESOURCE PLANNING

A discussion of various definitions brings out the following features of human resource planning :

1. **Well Defined Objectives.** The objectives of the organisation in strategic planning and operating planning may form the objectives of human resource planning. Human resource needs are planned on the basis of the company's goals. Besides, human resource planning has its own objectives like developing human resource, updating technical expertise, career planning of individual executives and people, ensuring better commitment of people and so on.

2. **Determining Personnel Needs.** Human resource planning is related to the determination of personnel needs in the organisation. The thinking will have to be done in advance so that the persons are available at a time when they are needed. The organisation may also have to undertake recruiting, selecting and training process also.

3. **Having Manpower Inventory.** It includes the inventory of present manpower in the organisation. The manager should know the persons who will be available to him for undertaking higher responsibilities in the near future.

4. **Adjusting Demand and Supply.** Manpower requirements have to be planned well in advance as suitable persons are not immediately available. In case sufficient persons will not be available in future then efforts should be made to start recruitment process well in advance. The demand and supply of personnel should be seen in advance.

5. **Creating Proper Work Environment.** Besides estimating and employing personnel, manpower planning also ensures that proper working conditions are created. People should like to work in the organisation and they should get proper job satisfaction.

NEED FOR HUMAN RESOURCE PLANNING

Human resource planning is viewed as foreseeing the human resource requirements of an organisation and supply of human resources. Its need can be assessed from the following points :

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1. Determining the number of persons to be employed at a new location

If organisations overdo the size of their workforce it will carry surplus or underutilised staff. Alternatively, if the opposite misjudgement is made, staff may be overstretched, making it hard or impossible to meet production or service deadlines at the quality level expected. The questions normally asked in this context are :

- How can output be improved through understanding the interrelation between productivity, work organisation and technological development ? What does this mean for staff numbers?

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- What techniques can be used to establish workforce requirements ?
- Have more flexible work arrangements been considered ?
- How the needed staff is to be acquired ?

The principles can be applied to any exercise to define workforce requirements, whether it be a business start-up, a relocation, or the opening of new factory or office.

2. Retaining the highly skilled staff

Issues about retention may not have been to the fore in recent years, but all its needs is for organisations to lose key staff to realize that an understanding of the pattern of turnover is needed.

- monitor the extent of employee turnover
- discover the reasons for it
- establish what it is costing the organisation
- compare loss rates with other similar organisations.

Without this understanding, management may be unaware of how many good quality staff are being lost. This will cost the organisation directly through the bill for separation, recruitment and induction, but also through a loss of long-term capability.

Having understood the nature and extent of turnover steps can be taken to rectify the situation. There may be relatively cheap and simple solutions once the reasons for the turnover of employees have been identified. But it will depend on whether the problem is peculiar to the organisation, and whether it is concentrated in particular groups (*eg* by age, gender, grade or skill).

3. Managing an effective downsizing programme

An all too common issue for managers, is how the workforce can be cut painlessly, while at the same time protecting the long-term interests of the organisation ? A question made all the harder by the time pressures management is under, both because of business necessities and employee anxieties. HR planning helps in these issues by considering :

- the sort of workforce envisaged at the end of the exercise
- the pros and cons of the different routes to get there
- how the nature and extent of wastage will change during the run-down
- the utility of retraining, redeployment and transfers
- what the appropriate recruitment levels might be.

Such an analysis can be presented to senior managers so that the cost benefit of various methods of reduction can be assessed, and the time taken to meet targets established.

4. Where will the next generation of managers come from ?

Many senior managers are troubled by this issue. They have seen

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traditional career paths disappear. They have had to bring in senior staff from elsewhere. But they recognize that while this may have dealt with a short-term skills shortage, it has not solved the longer term question of managerial supply: what sort, how many, and where will they come from ? To address these questions one must understand :

- the present career system (including patterns of promotion and movement, of recruitment and wastage).
- the characteristics of those who currently occupy senior positions.
- the organisation's future supply of talent.

This then can be compared with future requirements, in number and type. These will of course be affected by internal structural changes and external business or political changes. Comparing the current supply to this revised demand will show surpluses and shortages which will allow the organization to take corrective action such as :

- recruiting to meet a shortage of those with senior management potential.
- allowing faster promotion to fill immediate gaps
- developing cross functional transfers for high fliers
- hiring on fixed-term contracts to meet short-term skills/experience deficits
- reducing staff numbers to remove blockages or forthcoming surpluses.

Thus appropriate recruitment, deployment and severance policies can be pursued to meet business needs. Otherwise process are likely to be haphazard and inconsistent. The wrong sort of staff may be engaged at the wrong time on the wrong contract. It can be expensive and embarrassing to put such matters right.

OBJECTIVES OF HUMAN RESOURCE PLANNING

Following are the objectives of human resource planning :

1. Assessing manpower needs for future and making plans for recruitment and selection.
2. Assessing skill requirement in future.
3. Determining training and development needs of the organisation.
4. Anticipating surplus or shortage of staff and avoiding unnecessary detentions or dismissals.
5. Controlling wage and salary costs.
6. Ensuring optimum use of human resources in the organisation.
7. Helping the organisation to cope with the technological development and modernisation.
8. Ensuring higher labour productivity.

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